

DECISION

Subject: Handling of files for the purpose of examining applications for the issuance of final approval certificates – Consultation of the Municipality of Ypsonas with the Department of Labor Inspection

I refer to the final Notification of a personal data breach incident submitted to my Office on May 15, 2023, by the Municipality of Ypsonas (hereinafter referred to as the "Municipality"), and to all related correspondence concerning the above subject, which forms part of the case file. After examining the incident, based on the powers conferred upon me by Articles 33(5) and 55(1) of Regulation (EU) 2016/679 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data (hereinafter referred to as the "Regulation"), I note the following.

Case Facts

2. According to the above Notification and the additional information sent by the Municipality:

2.1. On September 2, 2022, the Municipality, in the context of examining an application for the issuance of a Final Approval Certificate, delivered a file to the Limassol District Labor Inspection Office for the purpose of obtaining the views of the said Department, in accordance with Article 55 of the Health and Safety at Work Laws of 1996 to 2023 (Law 89(I)/1996).

2.2. On October 21, 2022, the Municipality was informed that the Limassol District Labor Inspection Office had delivered the aforementioned file to the former owner of the premises (for which a Final Approval Certificate was to be issued). The Municipality was informed by the former owner about this delivery.

2.3. On the same day, namely October 21, 2022, the former owner returned the file to the Municipality, stating that he had made a copy of the file for his architect. As noted by the Municipality, the former owner was authorized by the current owners to manage and act on their behalf in all matters related to the licensing of the building/premises for which a Final Approval Certificate was to be issued. Additionally, the architect to whom the copy of the file was delivered, as clarified, is the architect of the project.

2.4. After the return of the file, the Municipality initially claimed that documents were missing from the file - specifically, 3 pages. In the initial Notification of the incident, it was stated that a responsible officer, during the examination of the file, noticed that documents and/or forms and/or certificates that constituted an integral part of the Technical Services file were missing from the file. Subsequently, in the final Notification, he stated that he does not know which specific documents were lost and whether they were ultimately lost since the main documents of the file concerning building permits, etc., are in the file, as became evident after a re-examination of the file.

2.5. According to the Municipality, the file contains the following:

- studies and plans (with signatures of owners, designers, and the mayor),
- applications (which include copies of identity cards and signatures of owners),
- property titles and spatial data for the plot,
- documents of assumption and assignment of the designers and annual professional licenses,
- consultations between departments,
- building and town planning permits with conditions,
- payment receipts (for building permits).

The file also includes registration certificates and final approval certificates. The documents in the file contain data of the owners of the premises of the said plot. According to the Notification, there were no special category data in the file. The incident may affect the data of 5 residents, owners of the said plot, and employee data, since the file contains service data of the Municipality's technical service.

2.6. The Municipality, for the protection of the personal data contained in the file from any leakage, delivered the file in person and through its authorized representative to the Limassol District Labor Inspection Office. It therefore expected instructions for the return and delivery of the file to the

Technical Services of the Municipality of Ypsonas and to no other person. Specifically, it notes that "the file was delivered by a clerk of the Municipality of Ypsonas to the District Office of the Department of Labor Inspection of Limassol and the file should have been delivered and/or returned to the Municipality and not to any other person or authorized representative."

2.7. The Municipality stated in the Final Notification of the incident that there cannot be any consequences from this action of the Limassol District Office. It assessed the seriousness of the potential consequences as negligible, stating that "any documents that have been lost, if they have been lost, do not constitute documents of critical or primary importance."

2.8. For the investigation of the incident, the Municipality sent a relevant letter to the Limassol District Labor Inspection Office and after a relevant request, the necessary authorizations from the property owners were submitted. As stated by the Municipality, it appears that there is no breach.

2.9. In the Notification, the Municipality states that the necessary measures were not taken by the Limassol District Labor Inspection Office. The file had been delivered by a clerk of the Municipality of Ypsonas and the should have been delivered and/or returned directly to the Municipality and not to any other person or authorized representative.

3. Beyond the above Notification, the management authorizations for the former owner and a letter dated December 8, 2022, from the Limassol District Office of Labor Inspection were sent to my Office, which states, among other things, the following:

3.1. For the examination of the application for the issuance of the Final Approval Certificate, it was necessary to conduct inspections at the premises/workspaces. Representatives of the applicants and the premises were also present during the inspection. After the inspection, the necessary recommendation was made for the issuance of the requested Certificate.

3.2. The former owner, who is the authorized manager of the current owners and representative of the company, volunteered to transfer the file to the Municipality for the purposes of facilitating and expediting the process, at which point the Department, in "good faith," handed over the file. Due to the large volume of the file and the absence of a clerk, the file was delivered closed in another envelope, which indicated the Municipality as the recipient.

3.3. The Limassol District Office of Labor Inspection does not accept the Municipality's claim of lost documents, which it deems unfounded. It also states that during the examination process of the application for the issuance of the Final Approval Certificate, it needs to examine only specific elements included in the file (applicant details, architectural plans, and a copy of the terms), and therefore no document is removed from the file, nor is there any reason for the District Office to retain a copy. To avoid similar incidents in the future, the Limassol District Office of Labor Inspection recommended that during the examination process of applications for the issuance of Final Approval Certificates, the competent authorities send only the necessary documents for its examination and not the entire file.

4. For the investigation of the incident, the positions and opinions of the Labor Inspection Department (hereinafter referred to as the "Department") were requested in relation to what the Municipality presented before us. According to the letter from the Department dated September 11, 2023:

4.1. The processing that takes place during the examination of applications for the issuance of Final Approval Certificates falls under the cases of consultation of the competent authorities (e.g., Department of Town Planning and Housing, District Administrations, Municipal Authorities) with the Department, prior to the issuance of a planning permit or building permit. During the consultation, the Department's views are taken into account regarding whether the buildings and facilities of the requested development are suitable for use for the purposes for which the application is proposed, in accordance with the provisions of the Occupational Safety and Health Legislation. Therefore, the legal basis for processing personal data for the purposes of examining applications for the issuance of Final Approval Certificates is provided by the provisions of Article 55 of the Occupational Safety and Health Laws of 1996 to 2023 (N. 89(I)/1996) and thus is based on Article 6(1)(c) of the Regulation. The data that is necessary and collected by the Department includes the full name and contact details of the applicants and/or consultants.

4.2. Instructions for this process and the required documents have been sent by the Department to other Public Authorities and are also posted on its website (Department of Labor Inspection - Republic of Cyprus (mlsi.gov.cy)).

- Department of Labor Inspection
- Licenses / Certificates

4.3. The actions and processing that the Department carries out during the examination of such applications are specific and relate to:

- the recording of the details of the applicant/consultant,
- the study of the architectural plans,
- the checking of compliance with the terms set by the Department previously.

Therefore, the Department does not accept any of the Municipality's claims regarding the loss of documents, as it does not remove any document, nor does it retain any copy of it.

4.4. In the context of the consultation, the competent authorities may either send a copy of the application (with the applicant's details) and the relevant documents or send the entire file of the application under examination. In cases where the entire file is sent, a list of documents is not sent by the competent authorities, nor is the totality of the documents contained in the files received by the provincial offices checked or recorded.

4.5. The plans along with the relevant documents that...

****Sent Back to the Competent Authorities Along with the Response of the Provincial Offices. The Department Considers the Municipality's Complaint Regarding the Loss of Documents from the Provincial Labor Inspection Office of Limassol to be Groundless and Unsubstantiated.****

4.6. The Department also notes that as soon as the Provincial Labor Inspection Office of Limassol received the relevant information from the Data Protection Officer of the Municipality regarding the incident in question, it proceeded with an immediate investigation and sent a relevant response providing its positions and opinions along with relevant information.

4.7. In general, the directive for the movement of service files and correspondence to the competent authorities stipulates that this is done either by mail, couriers, or representatives of the competent authorities. Since the Provincial Labor Inspection Office of Limassol does not have a courier and the volume of the file did not allow for its dispatch by mail, the file should have been delivered to the Municipality of Ypsonas through its representative. In good faith and for the purposes of facilitating and expediting the process, the file was delivered closed in another envelope to the authorized manager of the current owners, with the Municipal Secretary of the Municipality of Ypsonas indicated as the recipient.

4.8. The Department, for the purpose of avoiding similar incidents and ensuring an appropriate level of security, sent a letter on December 15, 2022, to all Provincial Labor Inspection Offices, in which it emphasized that the files received for the purpose of examining applications for the issuance of approval certificates should only be delivered to the couriers or representatives of the competent authorities.

4.9. Finally, the Department believes that the competent authorities are aware of the documents required to be submitted in the context of examining the aforementioned applications. It is up to them to choose and submit only the necessary documents. In cases of the movement of the entire file, the competent authorities are called upon to submit along with the file a detailed list of the documents it contains.

4.10. Attached to the Department's response were the correspondence to and from the Municipality dated 9/11/22 and 8/12/22, and a letter from the Department to the Provincial Labor Inspection Offices dated 15/12/22.

****5. On December 13, 2023, my Office requested some final clarifications from the Municipality.****

5.1. On January 15, 2024, the Municipality stated that the file under examination was created by the Municipality, specifically by its technical services.

5.2. Regarding procedures related to the movement of files and the archiving of documents in the file, the Municipality stated that it follows the procedures from the "Manual of Organization and Operation of Archives in the Public Service" (points 4.4.19.2, 3.2.9, 4.4.12, and 4.4.15).

5.3. The Municipality emphasized that it is in continuous compliance with the provisions of the Regulation. Specifically, the Municipality, among other things, has adopted a policy and conducts staff training as well as training for the Municipal Council on an annual basis on matters related to the Regulation, maintains records of activities, and implements appropriate organizational and technical measures.

5.4. The "Manual of Organization and Operation of Archives in the Public Service" was attached to the Municipality's email.

****Legal Framework****

6.1. Article 4 of the Regulation defines the following:

“processing’: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction.

‘controller’: the natural or legal person, public authority, agency or other body which, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union law or the law of a Member State, the controller or the specific criteria for its designation may be provided for by Union law or the law of a Member State.

‘personal data breach’: a breach of security leading to the accidental or unlawful destruction, loss, alteration, unauthorized disclosure of, or access to, personal data transmitted, stored or otherwise processed.”

6.2. Based on Article 5 of the Regulation:

“Principles relating to the processing of personal data

1. Personal data shall be:

- a) processed lawfully, fairly and in a transparent manner in relation to the data subject (‘lawfulness, fairness and transparency’);
- b) collected for specified, legitimate purposes and not further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest or scientific or historical research purposes or statistical purposes shall not be considered incompatible with the initial purposes according to Article 89(1) (‘purpose limitation’);
- c) adequate, relevant and limited to what is necessary in relation to the purposes for which they are processed (‘data minimization’);”
of personal data;
- d) are accurate and, when necessary, updated; all reasonable measures must be taken for the immediate deletion or correction of personal data which are inaccurate, in relation to the purposes of processing (“accuracy”),
- e) are kept in a form which permits identification of data subjects only for as long as is necessary for the purposes of processing; personal data may be stored for longer periods, provided that the personal data will be processed only for archiving purposes in the public interest, for scientific or historical research purposes, or for statistical purposes, in accordance with Article 89 paragraph 1 and provided that appropriate technical and organizational measures required by this regulation are applied to ensure the rights and freedoms of the data subject (“storage limitation”),
- f) are processed in a manner that ensures appropriate security of personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, using appropriate technical or organizational measures (“integrity and confidentiality”).

2. The data controller is responsible for and is able to demonstrate compliance with paragraph 1

("accountability").

6.3. Under Article 32 of the Regulation:

"1. Taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of processing, as well as the risks of varying likelihood and severity for the rights and freedoms of natural persons, the data controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, including, as appropriate:

- a) the pseudonymization and encryption of personal data,
- b) the ability to ensure the ongoing confidentiality, integrity, availability, and resilience of processing systems and services,
- c) the ability to restore the availability and access to personal data in a timely manner in the event of a physical or technical incident,
- d) the process for regularly testing, assessing, and evaluating the effectiveness of technical and organizational measures for ensuring the security of processing.

2. In assessing the appropriate level of security, account shall be taken in particular of the risks that are presented by the processing, in particular from accidental or unlawful destruction, loss, alteration, unauthorized disclosure of, or access to personal data transmitted, stored, or otherwise processed.

3. Compliance with an approved code of conduct as referred to in Article 40 or an approved certification mechanism as referred to in Article 42 may be used as a element to demonstrate compliance with the requirements of paragraph 1 of this Article.

4. The data controller and the processor shall take measures to ensure that any natural person acting under the authority of the data controller or of the processor who has access to personal data is only processing them on instructions from the data controller, unless he or she is required to do so by Union or Member State law."

6.4. According to Article 58 of the Regulation,

"1. Each supervisory authority shall have all of the following investigative powers:

- a) to order the data controller and the processor, and where applicable, the representative of the data controller or the processor, to provide any information it requires for the performance of its tasks,
- b) to conduct investigations in the form of audits,
- c) to carry out reviews of certifications issued in accordance with Article 42 paragraph 7,
- d) to notify the data controller or the processor of an alleged infringement of this Regulation,
- e) to obtain from the data controller and the processor access to all personal data and to all information necessary for the performance of its tasks,
- f) to have access to the premises of the data controller and the processor, including any equipment and means used for processing data, in accordance with Union or Member State procedural law."

2. Each supervisory authority has all of the following corrective powers:

- a) to issue warnings to the data controller or the processor that intended processing operations are likely to violate provisions of this regulation,
- b) to issue reprimands to the data controller or the processor when processing operations have violated provisions of this regulation,
- c) to instruct the data controller or the processor to comply with the requests of the data subject for the exercise of their rights under this regulation,
- d) to instruct the data controller or the processor to bring processing operations into compliance with the provisions of this regulation, if necessary, in a specific manner and within a specified time frame,
- e) to instruct the data controller to notify the data subject of a personal data breach,
- f) to impose a temporary or definitive restriction, including a ban on processing,
- g) to issue an order for the rectification or erasure of personal data or restriction of processing pursuant to Articles 16, 17, and 18 and an order to notify those actions to recipients to whom the personal data have been disclosed pursuant to Article 17 paragraph 2 and Article 19,
- h) to withdraw certification or to order the certification body to withdraw a certificate issued in accordance with Articles 42 and 43 or to order the certification body not to issue certification, if the certification requirements are not met or are no longer met,

- i) to impose an administrative fine pursuant to Article 83, in addition to or instead of the measures referred to in this paragraph, depending on the circumstances of each individual case,
- j) to order the suspension of the transfer of data to a recipient in a third country or to an international organization.

6.5. Pursuant to Article 83 of the Regulation,

“1. Each supervisory authority ensures that the imposition of administrative fines under this Article for violations of this regulation referred to in paragraphs 4, 5, and 6 is effective, proportionate, and dissuasive for each individual case.

2. Administrative fines, depending on the circumstances of each individual case, are imposed in addition to or instead of the measures referred to in Article 58 paragraph 2 points a) to h) and in Article 58 paragraph 2 point i). In deciding on the imposition of an administrative fine, as well as on the amount of the administrative fine for each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the relevant processing, as well as the number of data subjects affected by the infringement and the degree of damage suffered,
- b) the intent or negligence that led to the infringement,
- c) any actions taken by the data controller or the processor to mitigate the damage suffered by the data subjects,
- d) the degree of responsibility of the data controller or the processor, taking into account the technical and organizational measures they have implemented pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the data controller or the processor,
- f) the degree of cooperation with the supervisory authority to remedy the infringement and mitigate its possible adverse effects,
- g) the categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether and to what extent the data controller or the processor notified the infringement,
- i) where measures referred to in Article 58 paragraph 2 were previously ordered against the involved data controller or processor regarding the same subject matter, compliance with those measures,
- j) adherence to approved codes of conduct in accordance with Article 40 or approved certification mechanisms in accordance with Article 42, and
- k) any other aggravating or mitigating factor arising from the circumstances of the particular case, such as financial benefits gained or losses avoided, directly or indirectly, from the infringement.

3. Where the data controller or the processor, for the same or for linked processing operations, infringes several provisions of this regulation, the total amount of the administrative fine shall not exceed the amount specified for the most serious infringement.”

6.6. Based on Article 55 of the Occupational Safety and Health Laws of 1996 to 2023 (Law 89(I)/1996),

“55.-(1) In the event that, according to the provisions of any other legislation in force in the Republic, plans or studies of any installation or any non-domestic premises intended to be used as a workplace are submitted for approval by any competent authority, that authority must be satisfied, before approving such plans or studies, that the premises comply with the provisions of this Law.

(2) (a) Notwithstanding the provisions of paragraph (1) and the provisions of any other Law, the studies and plans of any factory or any premises intended for uses to be determined by the Minister by a decree published in the Official Gazette of the Republic shall be submitted to the Chief Inspector for approval, and notwithstanding the provisions of any such other Laws, the competent authority shall not approve these plans until it is notified by the Chief Inspector that the relevant buildings or installations are, in his opinion, suitable for use for the purposes proposed.

(b) For the purposes of the approval of the plans according to paragraph (2), the Chief Inspector may request the submission of additional information, data, or additional plans and studies regarding the design, testing, selection, installation, arrangement, use, and maintenance of the workplaces, the working environment, tools, machinery, and equipment, chemical, physical, and biological substances and products as well as processes. It is understood that in the case of an intention to erect buildings or

installations that belong to the Republic of Cyprus, the relevant approval process for the plans, calculations, and studies by the Chief Inspector shall be followed before the commencement of the construction works. For this purpose, the competent Department or Service for the construction, study, design, or calculation of the buildings or installations is obliged to submit the plans, calculations, or studies to the Chief Inspector.

(3) Any competent authority issuing a license for the operation of any installation or any non-domestic premises designated to be used as a workplace must ensure, as far as is reasonably practicable, that this space meets the provisions of this Law.”

****Reasoning****

7.1. According to Article 4 of the Regulation, a public authority that determines the purposes and manner of processing personal data constitutes a data controller. In the incident under investigation, the movement of the file was carried out by the Municipality and the Limassol District Labor Inspection Office, for the purpose of examining an application for the issuance of a Final Approval Certificate in accordance with the provisions of the Occupational Safety and Health Laws of 1996 to 2023 (Law 89(I)/1996). The Municipality and the District Office, determining the purpose of collecting and using the data, carried out a series of processing acts during the movement and examination of the contents of the file, during which they had the responsibility to ensure compliance with the Principles of personal data processing and the appropriate level of security against risks.

7.2. According to the positions presented in the Case Incidents of this Decision, the Limassol District Labor Inspection Office acted outside the instructions of the Department, delivering the file to the authorized manager of the current owners of the premises and not to the competent personnel (clerk/representative of the Municipality). According to the authorizations submitted before me, this person was authorized to manage and act on behalf of the current owners in all matters related to the licensing of the premises for which the application had been submitted. Therefore, although the delivery of the file to the authorized person does not automatically constitute a data breach, this act endangered the data of the individuals contained therein.

7.3. The positions of the Department and the Municipality do not agree on all points. The Municipality initially stated that 3 pages might be missing from the file, then noted that this is not certain. The Department, on the other hand, does not accept any such claim. The disagreement between the Department and the Municipality and the inability to ascertain any loss indicates a violation of Article 5 of the Regulation, since according to paragraphs (1)(f) and (2) of that Article, each data controller bears responsibility and must be able to demonstrate that personal data is processed securely and protected against any loss (Principle of integrity and confidentiality and Principle of accountability).

7.4. Appropriate measures (organizational and technical) must be taken to ensure and be able to demonstrate that the processing acts that...

****7.4.**** The actions carried out are in accordance with the provisions of the Regulation. In this case, the Department, as mentioned, had given clear instructions to the Provincial Labor Inspection Offices to circulate the files via mail, messengers, or representatives of the Competent Authorities. The Limassol Provincial Office acted outside of these instructions. The establishment of the aforementioned instructions appears to have been insufficient to safeguard the confidentiality, availability, and integrity of the data contained in the file, and thus is deemed unsatisfactory. Correspondingly, the delivery of the file by the Municipality through its messenger, although to some extent protects the data from unauthorized processing, does not ensure their availability, since in the event of their loss, as indicated by the statements, there was no possibility of verifying the content of the file and replacing the documents.

****7.5.**** Therefore, the Department's recommendation for the detailed listing of the documents contained in the file is of essential importance. It is also deemed important for the municipal authorities to examine and adopt an appropriate procedure to prevent similar incidents in the future, based on which the retention of copies of the data could be provided for the protection of their availability and appropriate destruction when they are no longer necessary, retention of sheets/memos contained

within the files, and numbering of the documents or even sending copies of the documents if the submission of the originals is not required. In any case, it is noted that the creation of an appropriate procedure and practices is the responsibility of the competent authorities acting as data controllers.

****7.6.**** Regarding the volume of documents circulated between the Provincial Offices and the Municipalities, these should be the minimum necessary required to achieve the purpose, namely the examination of the application. According to Article 5(1)(c) of the Regulation, the data should be adequate, relevant, and limited to what is necessary for the purposes (Principle of Minimization). I am of the opinion that the file should only be circulated in its entirety in cases where the examination of the entire file is deemed necessary for the fulfillment of the intended purpose.

****7.7.**** Taking into account the provisions of Article 32 of the Regulation, the data controller is responsible for implementing appropriate technical and organizational measures to ensure an adequate level of security against the risks that may arise during processing. These measures should be reassessed and updated at regular intervals. The data controller also takes measures to ensure that any natural person acting under their authority who has access to personal data processes it only on their instructions. In the incident under investigation, considering what has been presented to me, the measures taken are deemed insufficient, as they were not capable of ensuring the confidentiality, integrity, and availability of the data, nor guaranteeing their replacement in the event of loss.

****7.8.**** I emphasize that the responsibility for the protection and ensuring the security of the data was borne by both the Municipality of Ypsonas and the Labor Inspection Department. Therefore, appropriate measures should have been taken by both parties to prevent and adequately address any incident of breach.

****Conclusion****

****8.1.**** Based on the above findings and the powers granted to me by Articles 58 and 83 of Regulation (EU) 2016/679, taking into account the analysis I have provided above, I find a violation of Articles 5(1)(f), 5(2), and 32 of the Regulation by the Labor Inspection Department.

****8.2.**** Based on the provisions of Article 83 of the Regulation, to the extent applicable in this specific case, I take into account the following mitigating (1)-(8) and aggravating (9)-(10) factors:

- (1) the small number of data subjects,
- (2) the fact that the file was delivered to an authorized representative of the owners,
- (3) the non-inclusion of special categories of personal data,
- (4) the taking of corrective actions after the notification of the incident to prevent other incidents of a similar nature,
- (5) the absence of intent or purpose of violation,
- (6) the full cooperation of the Department with my Office and the submission of the information with complete transparency,
- (7) the isolated nature of the incidents,
- (8) the lack of sufficient evidence to prove the loss of documents.
- (9)
the inadequacy of the existing measures for data protection, the failure to deliver the file to the Municipality.
- (10)

8.3. After taking into account and considering -

- (a) the applicable legislative basis regarding the corrective powers conferred upon me by Article 58(2) of the Regulation,
- (b) the circumstances and factors presented to me by the Department based on all existing correspondence,
- (c) the aforementioned mitigating and aggravating factors,

I have decided, in my judgment and in accordance with the above provisions, to address -

- A reprimand to the Department of Labor Inspection for the violation of Articles 5 and 32 of Regulation (EU) 2016/679 and

- An order that, in cooperation with the other involved authorities, a relevant procedure be recorded, in compliance with the provisions of the Regulation, with the aim of preventing further incidents of a similar nature and to send it to my Office for information within two months.

Eirini Loizidou Nicolaidou

Nicosia, April 23, 2024

Commissioner for Personal Data Protection